

Company Name and Ticker: PayPal (NASDAQ: PYPL)
Industry: Financials / Digital Payments
Date: September 28, 2026



Saby Camhis

Action: LONG / **PT:** \$85 (2030) / **Upside:** 54.3%
Annualized Return: 10.7%

KEY STATISTICS & TRADING CHART

Price (9/25/26)	\$55.04	Enterprise Value (\$bn)	\$45.2
52-Week Range	\$38.46-\$79.22	EV / EBITDA (TTM)	7.0x
All-Time High (7/23/21)	\$308.53	P/E (2026E guide)	10.2x
Shares Out. (mm)	855	Float %	99.8%
Market Cap (\$bn)	\$47.1	YTD / 1-Yr Change	-6%/-19%
Net Debt/(Cash) (\$bn) *	(\$1.9)	Dividend Yield	1.0%
Net Debt / EBITDA	Net cash		

*Company definition: \$15.3bn cash, equivalents & investments vs. \$13.4bn debt (6/30/26). Market data: Investing.com, Yahoo Finance.



EXECUTIVE SUMMARY

PayPal runs a two-sided digital payments network with **439M active accounts** and **\$1.8T of payment volume** in 2025, earning **\$33.2B of revenue** from its branded checkout button, Venmo, BNPL/credit and Braintree card processing. The stock has fallen 82% from its 2021 high and a reverse DCF shows that the market is pricing in a -3% cash flow growth indefinitely on the view that Apple Pay and Google Pay will keep taking market share away from it. However, while the market is pricing PayPal for death, the fundamentals do not support it. We don't expect PayPal to become an amazing company, just a better one than the market expects. The fundamentals already support our thesis: 1) The core business has stopped shrinking with Branded Checkout growing at 2% for 2 consecutive quarters with TPV up 9% and raised guidance 2) Margin contraction isn't just a sign of increased competition, but also of the changing product mix with Financial Services, BNPL, Venmo and Braintree growing 10%+, 26%, 14% and 13% respectively 3) The market is attributing 0 value to the new revenue drivers such as the Ad Business 4) PayPal has a cash flow yield of 12.7% that it is utilizing to buy back shares below intrinsic value.

COMPANY OVERVIEW

PayPal was founded in 1998 and in April 2026 it reorganized into three businesses: **Checkout Solutions & PayPal** (the branded PayPal button), **Consumer Financial Services & Venmo** (BNPL, credit, debit cards and the Venmo P2P app) and **Payment Services & Crypto** (Braintree/PSP unbranded processing for large merchants, plus PYUSD).

PayPal earns ~90% of revenue from transaction fees and ~10% from other value-added services (interest on customer balances, credit/BNPL interest and fees, partnerships). In 2025, \$1.79T of payment volume split into branded checkout (\$527B, 29%), P2P/Venmo (\$477B, 27%), and Braintree/PSP (\$789B, 44%); 37% of volume is outside the U.S. The brand button carries the highest fees and generates most of the profit, while Braintree is high-volume but thin margin. In 2025 PayPal earned \$15.5B of transaction-margin dollars, \$6.4B of adjusted operating income and \$5.31 of adjusted EPS, and generated ~\$6B of free cash flow, most of which it returns through \$6B/year of buybacks and a \$0.14 quarterly dividend started in late 2025.

KEY PROBLEMS: WHY THE STOCK IS DOWN

PayPal's sell-off comes down to one fear that shows its symptoms throughout the company and that is its loss of market share to Apple Pay, Google Pay and Stripe. This increase in competition has shown up in the top-line revenue growth of its most profitable segment, Branded Checkout, which has faced continuously decelerating revenue growth and contracting margins. What's more, CEO Alex Chriss was replaced early this year, and Advent & Stripe walked away from their acquisition offer after PayPal's board rejected it, events that each caused a double-digit decline in the stock price.

INVESTMENT THESIS

- Revenue Growth:** The market is pricing PayPal at indefinite negative growth rates. Therefore, for our thesis to play out, PayPal, at the minimum, must keep revenue flat. The market's assumption does not even take into consideration GDP and CPI growth that support a 2% growth rate. What's more, BCG recently forecasted global payments industry revenue to grow at a CAGR of 5% until 2030. In other words, the sentiment around PayPal has become so bad that the market is expecting it to grow 8 percentage points below the industry. Listening closely to the earnings call, we know that the decline in growth in 2025 was partly attributed to management's conscious decision to reprice Braintree for profitability when they renegotiated with merchants for higher fees and let low-margin volume go. Now that the repricing is behind us, the recent 10-Qs show Braintree growth going from +2% to +13% in Q2 2026 and adding \$810M of transaction revenue in H1 2026, while transaction margin dollars (TM\$) grew by 1% and TPV grew from \$861B to \$950B from H1 2025 to H1 2026, or 10%—a far cry from the -3% growth.
- Margins:** The narrative around margin compression is partly true. Although the operating segment has kept margins relatively high, the increased advertising spend and pressure from merchants has applied downward pressure on margins. However, part of the compression is optical as Braintree adds new volume fast, but at low margins. In 2025, TM\$ growth was slowed by branded checkout decelerating, but it has since stabilized at +2% over the last two quarters. While Branded Checkout has been stabilizing,



Venmo and BNPL are growing at 14% and 26% respectively. What's more, Venmo customers that use Venmo Debit and Pay with Venmo generate 9x the revenue of other P2P users. The point I am trying to get across is the fact that the decline in margins does not communicate only the competitive pressure, but the changing product mix of segments that are growing much faster than branded checkout at lower margins. Therefore, now that Branded Checkout has stabilized, we can expect transaction margin dollar growth to re-accelerate towards 3–4%—although more emphasis should be placed on TM\$ rather than the take rate.

- 3) Advertising Business: Undoubtedly the biggest value driver moving forward for PayPal is the Advertising Business segment. Mark Grether left Amazon and Uber and joined PayPal in 2024, followed quickly by PayPal's change in its privacy settings to allow for the sharing of customer data. Ever since Grether joined Uber, their advertising business went from \$0 to \$1B, and has since passed a \$2B run rate, with margins in the sector known to hover around 70%—\$1.4B in additional income. My question to you is who has better data, Uber or PayPal? A company that knows what you bought, when you bought it, what color you bought it in, what size you bought it in and how you paid for it? The ad business is a new business segment, attributed no value by the market, that can help PayPal achieve revenue that at least matches that of Uber with ~70% margins. Following Uber's timeline, we can expect the business to generate significant revenue by late 2028.
- 4) Buyback program: Last, Enrique Lores, CEO, followed a highly disciplined cost cutting and share buyback program at HP, announcing workforce cuts of up to 16% and reducing the share count by ~38%. Lores is following the same route at PayPal, announcing ~4,760 job cuts equivalent to 20% of the company. Management has forecasted \$1.5B in cost savings that will be reinvested into the company's R&D, innovation, advertising and other growth initiatives. The cherry on top is that Management has reduced the share count from 1.2B shares to roughly 850M and has forecasted at least \$6B of buybacks in 2026—that is 13% of the company's market cap. If Lores follows the same principles he did at HP, he will buy back shares if it is still value additive to the firm and because of its current valuation I believe there is a long way before that is the case. Within 3–4 years, the company's share count will shrink by ~37%, lifting EPS ~55% from \$5.38 to ~\$8.30 without a single cent being attributed to the segments that have grown, are growing and will continue to grow at mid-teen rates.

VALUATION

Long-term capital preservation is my priority, and that is why my valuation is very conservative. If I take care and underwrite the downside properly, the upside is going to take care of itself. That is why this valuation makes the following assumptions: 1) PayPal will grow at 0% over the next 4 years, with Branded Checkout deteriorating and Venmo, BNPL, Financial Services and Braintree simply keeping the top and bottom line flat 2) Margins do not re-accelerate but remain flat now that branded checkout has started to stabilize 3) Management's \$1.5B in cost cutting and reinvestment into growth is a cash burning machine and has no effect on either PayPal's top or bottom line 4) The advertising business that is generating \$2B for Uber does not manage to generate a single cent for PayPal 5) The buyback program continues to buy back \$6B for 4 years. When we take these assumptions into consideration, our target price for PayPal in 2030 is \$85 at today's 10.2x multiple, \$75 with an 8x multiple and \$89 with an 11x multiple. If we are lucky and management can deliver on some of its growth initiatives such as achieving a growth rate of 2% alongside inflation, then our price target increases to \$94. If management and Lores are successful in turning the ship around and realize their vision for the ad business, create profit-generating growth from Venmo, Braintree and BNPL and cut the necessary fat from the business, our price target sits at \$103 without any re-rating. Stripe and Advent seemed to agree with our thesis, offering to purchase the future growth of PayPal at a 28% premium to its pre-offer price and putting in an offer of \$60.5. However, it is important to note that the acquisition fell through not because of lack of interest by the acquirers, but because PayPal's board rejected the offer, believing that the value management can create for shareholders is significantly higher than \$60.5, a conviction I share.

KEY RISKS

- 1) Branded Checkout deteriorating further because of intense competition
- 2) Macroeconomic factors, such as a recession and higher gas prices lead to lower discretionary income and lower number of transactions and average transaction ticket price.
- 3) Cybersecurity risks
- 4) Further interest rate cuts reduce the interest income PayPal earns on customer balances
- 5) Rising BNPL and consumer credit losses in a recession
- 6) The \$1.5B of reinvested cost savings fails to generate growth

PRIMARY RESEARCH SOURCES

US Securities and Exchange Commission EDGAR Database: 10-K, 10-Q, Proxy-Statements

BCG Global Payments Report 2026: <https://www.bcg.com/publications/2026/global-payments-market-outlook-2030>

S&P Capital IQ: <https://www.capitaliq.com/CIQDotNet/company.aspx?companyId=112732>

PayPal's Newsroom: <https://newsroom.paypal-corp.com/2026-06-22-PayPal-Ads-Delivers-Bottom-Line-Growth-Advertisers-Can-Measure>

PayPal Q2 Earnings Call Transcript: https://s205.q4cdn.com/875401827/files/doc_financials/2026/q2/PYPL-2Q-26-Earnings-Transcript.pdf

News & market data: Quartz (5/6/26, 8/28/26), TechTimes (7/20/26), The Drum (5/4/26), PayPal Newsroom (5/28/24), TechRadar (10/1/24), Unpacked, Investing.com